AS TO THE ADMISSIBILITY OF

Application No. 12213/86
by Jon AXELSSON and Others
against Sweden

The European Commission of Human Rights sitting in private on 10 October 1988, the following members being present:

MM. C.A. NØRGAARD, President
J.A. FROWEIN
S. TRECHSEL
F. ERMACORA
G. SPERDUTI
E. BUSUTTIL
A.S. GÖZÜBÜYÜK
A. WEITZEL
J.C. SOYER
H.G. SCHERMERS
H. DANELIUS
G. BATLINER
J. CAMPINOS
Mrs. G.H. THUNE
Sir Basil HALL
MM. F. MARTINEZ
C.L. ROZAKIS
Mrs. J. LIDDY

Mr. H.C. KRÜGER, Secretary to the Commission

Having regard to Article 25 of the Convention for the Protection of Human Rights and Fundamental Freedoms;

Having regard to the application introduced on 15 January 1986 by Jon AXELSSON and Others against Sweden and registered on 2 June 1986 under file No. 12213/86;

Having regard to the report provided for in Rule 40 of the Rules of Procedure of the Commission;

Having deliberated;

Decides as follows:

THE FACTS

The facts may be summarised as follows.

The applicants are the following:

1. Mr. Jon Axelsson, a Swedish citizen born in 1952.
2. Mr. Roy Gasper, a Swedish citizen born in 1940.
3. Mr. Lars-Erik Hjelm, a Swedish citizen born in 1935.
4. Mr. Stig Nissen, a Swedish citizen born in 1946.

The applicants are taxi owners and holders of taxi licences for the area of Malmö. They are members of ROYSTAXI Economic Association founded in 1981.

According to the 1979 Act on Commercial Transportation

(yrkestrafiklagen) and the 1979 Ordinance on Commercial Transportation (yrkestrafikförordningen), taxi traffic may be conducted only by persons who have a transportation licence. In addition to this licence, a licence-holder can obtain a reserve permit applicable to a reserve car. Both kinds of licences can be obtained upon application to the County Administrative Board (länsstyrelsen).

In April 1980 the County Administrative Board of the County of Malmöhus granted the Malmö Taxi Economic Association (MTEA) 35 reserve permits. MTEA already had 55 such licences. Two months later the Board rejected Mr. Gasper's application for a short-time reserve permit. Mr. Gasper filed a new application for a permanent reserve permit, which was rejected by the Board on 25 March 1981. Mr. Gasper appealed to the Board of Transport (transportrådet) which rejected the appeal. The Board referred in its decision to the 90 reserve permits held by MTEA as satisfying the need in the zone, and added that the supervision of the actual demand for taxi transportation was best carried out through MTEA's dispatch exchange to which the members of ROYSTAXI do not subscribe.

On 16 June 1981 and 28 July 1981 respectively, the County Administrative Board rejected two further applications for reserve permits from Mr. Gasper. On 27 November 1981 a similar application from Mr. Hjelm was rejected by the County Administrative Board.

On 27 November 1981 an application for a reserve permit filed by Mr. Nissen was rejected by the County Administrative Board which referred to the 90 reserve permits of MTEA and the supervisory function of the dispatch exchange as well as to the earlier rejections of ROYSTAXI's members' applications. Mr. Nissen appealed to the Board of Transport which rejected the appeal. Mr. Nissen submitted a further appeal to the Government which rejected the appeal on 2 September 1982.

In September 1984, all the applicants filed a new application for reserve permits. In a written opinion submitted to the County Administrative Board, the municipality of Malmö found that there was no reason why the licences should not be granted, while MTEA submitted inter alia that there was an over-establishment of taxi businesses in the area and that MTEA had resources to cope with even a steep increase in the demand for services. The Trade Union of Swedish Transport Workers held that there was no need for supplementary licences at that time, though it considered two reserves licences should be granted to the association ROYSTAXI.

On 7 November 1984, the County Administrative Board refused the applicants' request, stating:

> "According to Chapter 2 Section 11 of the Act on Commercial Transportation a transportation licence may be granted only when the enisaged transportation service is deemed necessary and otherwise appropriate. The County Administrative Board is under the obligation to consider the total offer of taxi vehicles in a transportation zone in relation to the demand. In view of the excessive establishment in the taxi business in the transportation zone of Malmö-Burlöv, the County Administrative Board holds that there is no need for further licences at present."

The applicants appealed to the Board of Transport. In its opinion submitted to the Board, the County Administrative Board stated:

> "There are at present about 210 ordinary taxi licences in the transportation zone of Malmö-Burlöv. At present, this is a sufficient quantity. Apart from the ordinary licences MTEA holds about 90 reserve licences on account of its

members. These licences are however made use of only to a small extent, since MTEA has chosen to use extra commands instead of using the reserve licences, when demand for transportation is high. Occasionally, however, there may be need for further taxi vehicles, for instance at Christmas and at New Year etc. Of course, it is also a matter of great interest to the appellants to be able to use their reserve vehicles maximally. The County Administrative Board is, however, not prepared to grant the appellants reserve permits at present. One important reason for this is the following. In the autumn of 1984 the economic association ROYSTAXI has started a dispatch exchange of its own, in cooperation with Securitas, Southern Sweden AB. The County Administrative Board has requested the association to establish a command plan for its activity, but the association has refused to do so. Without a command plan it will be difficult to prevent reserve licences from being used to such an extent that they may compete with ordinary licences. The County Administrative Board also calls attention to the fact that MTEA is holding an extra general assembly on 29 January 1984 to take a final decision regarding an amendment of its statutes, which will mean that the dispatch exchange may become accessible also to independent subscribers. If the dispatch exchange is opened, negotiations to bring about cooperation between these two associations should start as soon as possible. In that context, the question of reserve licences should be reviewed. One prerequisite for this is, however, that the County Administrative Board be given the possibility to control the activity by means of a command plan. The County Administrative Board advises against upholding the appeal."

The applicants' appeal was dismissed on 8 March 1985, the Board of Transport holding that when assessing the necessity of a licence, consideration must be given to the quantities of such licences within the entire area and against this background, it could not be said that there was any need for further licences.

The applicants appealed against this decision to the Government and in addition claimed damages and costs. The County Administrative Board in its opinion to the Government reported that MTEA had changed its statutes and that a meeting had been held between MTEA and ROYSTAXI:

"In this context, MTEA assured that if ROYSTAXI was to join the common dispatch exchange of MTEA, ROYSTAXI would also be permitted to have the 90 reserve licences at its disposal. From what has now been said it appears, however, in the opinion of the County Administrative Board, that ROYSTAXI does not wish to join the common dispatch exchange. It may be added that the County Administrative Board has asked ROYSTAXI to hand in a project for a command plan to the Board. In spite of remonstrations, no such plan has been submitted. Considering the circumstances now mentioned, and in view of what is said in the attached decision, the County Administrative Board requests that the appeal be declined."

The Government dismissed the applicants' appeal on 5 September 1985.

On 17 April 1986 the County Administrative Board granted 13 reserve permits to a new transportation organisation, the TS Taxi Transport Service. The Board of Transport reversed this decision, but this decision was in turn quashed by the Government on 4 December 1986 and the grant of the permits confirmed.

Swedish legislation on taxi transport

Commercial and public transportation in Sweden is governed by the 1979 Act on Commercial Transportation and the 1979 Decree on Commercial Transportation. Such transportation is defined as the transportation service - by car, truck or bus - offered to the public for a fee (Chapter 1, Section 4 of the Act). Such transportation may only be conducted by persons in possession of a valid transportation licence (Chapter 2, Section 1 of the Act). Licences are issued for either goods or passenger transportation.

Licences are only to be granted to persons (physical or legal), who are deemed suitable to conduct the service (Chapter 2, Section 3 of the Act). In examining applications, such factors as professional qualifications, and personal and economic circumstances are considered.

Other conditions for passenger transportation are that the service is deemed necessary and otherwise appropriate (Chapter 2, Sections 11 and 17 of the Act).

Specific conditions are often appended to passenger transportation licences. One such condition may be for instance that the licence regards reserve transportation and that it may be used only when there is a need for it, and when ordinary transportation licences are already being used.

Those who hold licences for transportation on demand with lighter vehicles (taxis) are under the obligation to transport passengers and baggage on such conditions as are applicable to that kind of transportation. Availability is regulated by so called command plans. A maximum fare rate is established by the authorities.

The licence holder for taxi transportation must be connected to a dispatch exchange which is common to one or several transportation zones. The County Administrative Board may grant an exemption from this obligation on special grounds (Chapter 4, Section 10 of the Decree). Generally there is no more than one dispatch exchange in each transportation zone. The establishment of several smaller units is not economically feasible because of the high cost of modern computerised exchanges. The possibility of a dispensation from the obligation to subscribe to a dispatch exchange is mainly available to cater for the needs of taxi services in the vast sparsely populated areas of the country.

A passenger transportation licence can be revoked, if the licence has been misused in such a way that the holder can no longer be deemed suitable to conduct the service. In less serious cases, a warning may be issued. If the service is not kept up, the licence should also be revoked (Chapter 3, Sections 1 and 2 of the Act).

Licences are usually issued by the County Administrative Board. The Board also decides what specific conditions should be met under the licence. Before deciding whether to grant a licence for transportation on demand, an opinion from the competent Police Authority should be asked for. Municipalities, organs responsible for communications, associations of those who carry out commercial transportation and such trade unions as may be concerned by the envisaged transportation activity are to be given an opportunity to submit opinions. The County Administrative Board also has a supervisory function and is authorised to revoke licences. Appeals against the decisions taken by a Board lie to the Board of Transport. As a last instance, the Government may review decisions made by the Board (Chapter 2, Section 1 and Chapter 12, Section 2 of the Decree).

Reserve licences are granted to enable taxi enterprises to provide their customers with acceptable services also when demand is high. Reserve licences are transportation licences that have been

submitted to the condition that they may be used only to a limited extent, for instance when other licences are already being used. Such licences are, according to widespread practice, usually granted to the economic associations of taxiowners or to other entities that manage dispatch exchanges. The reason for this is that those who manage a dispatch exchange are best placed to decide when supplementary vehicles are required. The licences are generally used in turn by those connected to the dispatch exchange. Individual licence holders may also be granted a reserve licence.

In January 1988, the Government submitted to Parliament two Bills on the deregulation of commercial transportation (Government Bills 1987/88:50 and 1987/88:78). Government Bill 1987/88:78 contains a proposal for a new act on commercial transportation which is to come into force on 1 January 1989. As regards taxi transport the proposed legislation means that the test of the necessity and appropriateness of an envisaged service will disappear as a prerequisite for granting a licence, as of 1 July 1990. Furthermore, the duty to keep up the service and the rules on transportation zones will disappear, rates will be free and the obligation to be connected to a dispatch exchange will be dispensed with. This means that there will in principle be freedom of establishment for taxi enterprises and that competition will be free in that line of business. On the other hand there will be a sharpening of requirements as to the suitability of those applying for a licence and the subsequent monitoring of their suitability will be reinforced.

COMPLAINTS

The applicants complain that the repeated administrative refusals to grant the members of ROYSTAXI reserve taxi permits were based on irrelevant arguments concerning the number of permits and their rival taxi association's supervisory function, and violated the applicants' right to freedom of association in itself as well as together with their right to non-discrimination, bearing in mind the local authorities' earlier and subsequent granting of such permits to rival taxi societies in the same zone.

The applicants also complain that they have had no access to court in order to have the administrative decisions reviewed.

The applicants invoke Articles 6, 11 and 14 of the Convention.

PROCEEDINGS BEFORE THE COMMISSION

The application was introduced on 15 January 1986 and registered on 2 June 1986. On 7 December 1986, the Commission decided to communicate the application to the Government pursuant to Rule 42 para. 2 (b) of its Rules of Procedure and to invite them to submit written observations on the admissibility and merits.

The Government's observations were received on 28 March 1988, after an extension of two weeks of the time-limit, and the applicants' observations in reply were received on 18 May 1988.

SUBMISSIONS OF THE PARTIES

A. The respondent Government

Article 26

As regards the complaints relating to the various decisions refusing reserve permits to the applicants, the Government submit that only the last two sets of proceedings satisfy the requirement of

exhaustion of domestic remedies and that of those only the last one (i.e. culminating on 5 September 1985) meets the requirement of the six months rule.

Article 6

As appears from the legal provisions governing the possibility to obtain a taxi licence, such a licence is granted on the basis of an assessment of the need for that licence. An assessment is made of the suitability of the requested licence in view of the aim to obtain a good structure of transportation and counteract over-establishment. A reserve licence is an ordinary taxi licence with special restrictions as to the conditions under which it may be used. It also appears that there is a certain amount of supervision of licence holders and that a licence may be revoked. These provisions, as the ones regarding granting of taxi licences, are laid down in the public interest to obtain and maintain a good and well-functioning transport structure. Consequently, while the criteria for obtaining an authorisation are sufficiently precise to fulfil the criterion of the "rule of law", the Government submit that the margin of appreciation afforded is such that it cannot be said that an applicant is granted a right to obtain a taxi licence of any kind (Eur. Court H.R., van Marle and others judgment of 26 June 1986, Series A no. 101, p. 12, paras. 30, 37).

Nevertheless, in a number of cases pertaining to the exercise of various activities requiring a licence or an authorisation, the Court has considered that a contestation pertaining to a civil right was at issue, and, consequently, that Article 6 para. 1 was applicable (e.g. Eur. Court H.R., Le Compte, Van Leuven and De Meyere judgment of 23 June 1981, Series A no. 43). In those instances, however, there was a question of withdrawing or encroaching on a commercial activity already being exercised.

In this context, the Government make special reference to the Benthem case (Eur. Court H.R., Benthem judgment of 23 October 1985, Series A no. 97, pp. 14-16, paras. 32, 36, with references). The Government point out that in the Benthem case the Court must be understood as having attached importance to the fact that the licence concerned in that case had in fact already been made use of. It was in the last analysis on the basis of this fact that had appeared a right in the sense of the earlier jurisprudence of the Court, and that there could be said to exist a dispute pertaining not only to the "actual existence of a right", but also to the scope and the manner in which it was exercised.

Since in this instance the applicants were never granted a reserve licence that they could make use of, the Government submit that no civil right in the sense of the Convention may be said to have existed. Consequently the administrative procedure concerning the granting of reserve licences did not concern a dispute concerning a civil right, or indeed, a right of any kind. For this reason, the application falls outside the scope of the Convention and should be rejected ratione materiae.

However, in case the Commission were to find that the decisions did amount to a determination of the applicants' "civil rights" within the meaning of Article 6 para. 1, the Government admit that the applicant was not entitled to take proceedings before an independent and impartial tribunal, established by law as provided by the said provision.

Article 11

Swedish legislation distinguishes between economic associations and non-profitmaking (or "friendly") associations. This distinction also exists in other legal systems. It should be noted

that according to Article 1 of the Act on Economic Associations (lagen om ekonomiska föreningar) the aim of an "economic" association is to promote the economic interests of its members through economic activity in which they take part. There is no corresponding legislation in the field of civil law concerning non-profitmaking associations. These are in principle governed by practice, but various rules on such associations appear in different acts, especially in the field of taxation.

The principle of the freedom of association is laid down in Chapter 2, Section 1 paragraph 5 of the Swedish Instrument of Government (regeringsformen) - one of the three fundamental laws which form the Swedish Constitution. Freedom of association is guaranteed for both economic and non-profitmaking associations.

The corresponding principle of the negative freedom of association - the freedom to abstain from joining an association - is however of a more limited scope. Chapter 2, Section 2 of the Instrument of Government stipulates i.a. that citizens shall be protected from the compulsion to belong to a political association, a religious community or any other associations of a certain political, religious, cultural or other such opinion. It follows from this that economic associations are in principle exempted from this guarantee.

It has been mentioned above that, in the field of commercial transportation, certain personal and economic restrictions exist with the aim of providing the public with an efficient transport service. One of these restrictions is the obligation for taxi licence holders to belong to a dispatch exchange.

It should also be noted that taxi associations are entrusted by the Decree to administer the dispatch exchanges and are thus complying with a public law obligation. The Commission and the Court have in previous cases found that Article 11 of the Convention offers no protection in regard to associations having the characteristics of a public institution (Le Compte, Van Leuven and De Meyere judgment, loc. cit.; No. 6094/73, Dec. 6.7.77, D.R. 9, p. 5).

It should be noted that professional associations are to be found in the taxi branch in Sweden and that the applicants' rights in this connection have not been restricted in any way. Taxi owners usually belong, through a branch organisation, to the Swedish Taxi Association (Svenska Taxiförbundet), which deals with general questions concerning the branch. They usually also belong to the Swedish Employers' Federation. The corresponding association for taxi drivers is the Transport Workers' Union.

In answer to the Commission's question concerning the possible interference regarding the applicants' rights under Article 11, the Government thus maintain that no such interference has taken place, as the right they refer to does not fall within the scope of the Convention. Their complaints should consequently be rejected ratione materiae.

The Government also point out that the obstacle complained of by the applicants regarding their possibilities to affiliate to the dispatch exchange in question has recently been removed by the change in the statutes of the Association. It follows that the grounds for their complaints in this respect no longer exist.

It should also be noted that despite the fact that the applicants have not fulfilled the legal obligation to subscribe to the dispatch exchange since 1980, they have never been deprived of the possibility to carry out their profession as licensed taxi owners.

None of the decisions invoked by the applicants has a direct bearing on their freedom of association or on their negative freedom

of association. A global assessment of the decisions concerned, including the statements made by the County Administrative Board in the opinions which it has submitted to the Board of Transport and to the Government leads to the following conclusions.

The reason why the reserve licences were accorded to MTEA was that MTEA was charged with operating the common dispatch exchange and had a command plan, which made it easier to assure that the reserve licences were used in accordance with the conditions to which they were subject.

Article 14

The Government submit that there has been no discrimination under Article 14 in conjunction with Article 11. Any difference in the way the members of the associations concerned were treated was objectively and reasonably justified by the aims of the legislation involved. The Government also contend that there was a reasonable proportionality between the means employed and the aims sought (e.g. Eur. Court H.R., Belgium Linguistic judgment of 23 July 1968, Series A no. 6 p. 34, para. 10).

For the above reasons the Government contend that the applicants' complaint should be dismissed as manifestly ill-founded.

B. The applicants

Background

One of the conditions for taxi licences is that the service intended is deemed necessary and otherwise appropriate. However it is not easy, considering the treatment of the applicants' requests for reserve licences, to give the concept "unnecessary service" a common sense meaning.

When the applicants founded ROYSTAXI and resigned from MTEA, they did so as the strongest possible reaction against a long monopolised and completely numbed taxi transportation service in Malmö, a shortcoming for which MTEA and the County Administrative Board were equally responsible, MTEA carrying on in too steep traditional tracks and the County Administrative Board relying too much on MTEA.

One major feature of the taxi service policy of MTEA was the idea that the taxis on duty according to the command plan should be guaranteed - as far as possible - continuous and remunerative transportation work during their shifts. This was brought into effect in a way which caused almost permanent inconveniences to the public. The number of taxis commanded on each shift was often under what could be considered appropriate. In that way MTEA intentionally created a queue of taxi transportation customers who for the sake of securing continuous work for the taxi cars on duty had to wait for transportation after order agreement for half an hour or more without any information whatsoever. This system created a lot of discontent among the public and a great number of reminder calls to the dispatch exchange. These reminder calls together with new order calls caused collapses in the communication activities of the dispatch exchange where the dispatch exchange of MTEA lost all control over and contact with the taxi cars and the taxi customers in the streets and in their places. These collapses created a queue of taxi cabs without any contact with the queue of the taxi customers, through the dispatch exchange of MTEA. Such policy made "taxi jam sessions" could last for hours in particular during autumns and winters when the Swedish weather often creates sudden increases in the number of incoming taxi transportation orders at the dispatch exchange.

The applicants contend that the major reason for the duration through the years of this bizarre picture of inefficiency was the taxi monopoly position of MTEA; no trade competition forced MTEA to change its odd taxi service policy as mentioned above. Furthermore, this acute monopoly position of MTEA in the Malmö taxi zone deprived the County Administrative Board of all possibilities of inducing MTEA to make improvements - had there been any such real intent of the County Administrative Board.

With 35 new reserve licences, the dispatch exchange of MTEA had about 200 ordinary taxi licences and 90 taxi reserve licences at its command. It was commonplace among all affected that the dispatch exchange hardly ever used any of the reserve licences.

The decisive difference between the ordinary taxi licences and the taxi reserve licences is that the licensee with an ordinary taxi licence has both the right and the duty to operate taxi transports, the duty usually defined in a command plan or scheme and the right referring to the licence as such. A taxi reserve licence gives the licensee exclusively the right to operate taxi transports when he himself deems it necessary to offer extra facilities for travelling with reference to a sudden increase in the demands for transportation.

The main backbone of the taxi service consists of the total of the ordinary taxi licences within a taxi zone. It is when an application for an ordinary taxi licence is under consideration that the Act and the Decree on Commercial Transportation provide - among other things - that the service must be deemed necessary and otherwise appropriate. Sudden and short-time increases in the public demand for taxi transportation are supposed to be dealt with by means of mobilising taxi cabs running on taxi reserve licences.

After their establishing of ROYSTAXI Economic Association in the summer of 1981 as an independent and competing new taxi organisation with a new taxi service policy in the Malmö taxi zone, the applicants found themselves rapidly in demand, the waves of sudden and short-time increases in the taxi transportation demands reaching them with shorter intervals. With their limited resources of exclusively four ordinary taxi licences and thus never more than four cabs in traffic, the four applicants had completely to give up the difference between duty and right to operate taxi transportations; in principle they all operated all 24 hours every day.

The applicants would draw attention to four factors of great economic importance in the taxi service, two factors with a negative impact and two factors with a positive economic impact:

a) Economically negative factors: Those are firstly the duty with reference to the taxi local command plan to operate taxi transports even during the nights etc. when the demand for taxi transports is rather low; within such periods the income seldom covers the current expenditure. Secondly the proportion between "empty" driving on the one hand and driving with paying passengers on the other could constitute a negative economic factor and must be carefully balanced. Even during peak hours of taxi traffic the earning capacity of a taxi enterprise can turn out to be devastatingly low due to an imbalance between "empty" and "lucrative" driving. It is impossible for a taxi-owner to compensate a periodical loss with a periodical extra fare, since the maximum fare rate - which is established by the authorities - may not be exceeded.

b) Economically positive factors: The factor of primary importance here must be the right without duty through a taxi reserve licence to make the investment laid down in a taxi reserve cab working during the peak hours of taxi traffic. The second positive factor may be the possibility to make advertisement agreements where the taxi-owner sells space for ads on and in his cab. This may be

considered the only source of income for a taxi-owner which is not publicly regulated and restricted.

The applicants therefore submit that a taxi reserve licence is an almost indispensable economic asset for a licensee and taxi-owner with an ordinary taxi licence.

The taxi reserve licences are not specifically mentioned in either the 1979 Act on Commercial Transportation or the 1979 Decree on Commercial Transportation, all bureaucratic investigations having expressly concentrated upon the issuing of ordinary taxi licences, the number of which is supposed to form the skeleton of the taxi branch trade. With reference to what has been said above it seems also completely inappropriate to make any special bureaucratic assessments as to the "necessity" or "lack of necessity" of the extra taxi service offered on taxi reserve licences. The expenses for organising and operating a taxi service and in particular an extra taxi service are so high that the private taxi-owner will in his own interest certainly abstain from organising such service on a taxi reserve licence unless there is a genuine need for such service for at least some continuous hours; for that reason the problematic situations might be considered highly and effectively self-regulating.

It is impossible to reconcile the series of decisions against ROYSTAXI and its members - in particular when compared with the favourable decisions concerning MTEA and the TS Transportservice AB - with even the faintest idea of independence, impartiality and non-discrimination. On the contrary, those decisions are characterised by and reveal a far-reaching partial and consciously discriminating abuse of bureaucratic power in order to penalise ROYSTAXI to the advantage of MTEA and to support its monopoly position in the taxi service.

The main reason for the refusal is a purely specious argument given by the County Administrative Board, namely, that the applicants refuse to establish a command plan. The command plan is meant to divide between the right to operate taxi traffic in accordance with the licence, and which right covers 24 hours a day, and the duty to operate taxi traffic in the public interest and which duty covers not more than 12-16 hours a day. The ROYSTAXI members never refused to construct a draft of a command plan but found such a plan meaningless with reference to their taxi service policy in general and to their obligations in relation to their personal clientèle: they operated with reference to their licenced right. While the command plan of MTEA may have been necessary, a command plan for ROYSTAXI's four taxi cabs would under the present conditions give only a ridiculous impression.

Article 26

The applicants agree with the respondent Government that only the last set of proceedings culminating on 5 September 1985 meets the requirement of Article 26 of the Convention.

Article 6

As to the nature of the right to taxi reserve licences and the right through those licences to operate an independent taxi service the applicants submit that this right must be of the nature of a civil right and free trade right in the (autonomous) meaning of the Convention (see e.g. Eur. Court H.R., Benthem judgment, loc. cit., Pudas judgment of 27 October 1987, Series A no. 125 and H. v. Belgium judgment of 30 November 1987, Series A no. 127). In all three cases the Court has found a right of a civil nature under determination and for that reason Article 6 of the Convention applicable.

The applicants allege that their right to a taxi reserve

licence in the present case must be considered a civil right on the scale somewhere between the right of Mr. Benthem and the right of Mr. H. in the case of H. v. Belgium, though closer to Mr. Benthem's right, since the taxi reserve licence is a crucial economic asset in a taxi transportation enterprise in Sweden as noted above. The applicants submit - with reference to Swedish legal provisions - that the assessment of the suitability and necessity of the requested licence concerns only ordinary taxi licences which are the only ones expressly mentioned in the 1979 Act and Decree on Commercial Transportation. The necessity for an ordinary taxi licence must be found present because of the fact that there is both a right and a duty to organise taxi traffic concomitant with the ordinary taxi licence. In exercising his duty to organise taxi traffic in accordance with the command plan the taxi-owner and ordinary taxi licensee must as much as possible be spared expensive "empty" driving.

As observed before, the taxi reserve licences simply give the licensee a right to organise extra taxi traffic during peak hours if he deems this extra traffic appropriate.

The fact that the applicants were never allowed a tribunal review concerning their applications for taxi reserve licences constitutes a violation of the applicants' rights as set forth in Article 6 para. 1 of the Convention.

Also from another poiont of view the applicants' right as set forth in Article 6 para. 1 has been violated. When the applicants appealed against the bureaucratic decisions denying them each a personal taxi reserve licence the applicants alleged that if they were denied those licences this should be considered a discrimination and a violation of their freedom of association.

Articles 11 and 14

It seems incontrovertible that when the administration grants MTEA and the TS Transportservice AB taxi reserve licences to be used independently in their respective taxi transport enterprise on a market of their own in the Malmö-Burlöv taxi zone when appropriate, the administration in rejecting the applications for taxi reserve licences of the members of ROYSTAXI discriminates against the applicants as members of an independent taxi association and denies them and their independent organisation a taxi market and an independent marketing of their own.

The applicants find that those decisions imply violations of their freedom of association through discrimination and for that reason violations of Articles 11 and 14 of the Convention.

THE LAW

1. Article 26 (Art. 26) of the Convention

The applicants complain of the proceedings and administrative decisions in which they have been refused reserve taxi permits.

The Commission recalls that the respondent Government submit that Article 26 (Art. 26) of the Convention is satisfied only in respect of the last set of proceedings, i.e. the proceedings involving all four of the applicants which ended on 5 September 1985. The Commission notes that the applicants accept the respondent Government's submissions on this point.

The Commission also considers that it can only examine the applicants' complaints in relation to the last set of proceedings which ended on 5 September 1985 with the dismissal of the appeal of the four applicants by the Government.

2. Article 6 (Art. 6) of the Convention

The applicants complain that they have had no access to court in order to have the administrative decisions, refusing them reserve licences, reviewed. They invoke Article 6 para. 1 (Art. 6-1) of the Convention, which in its first sentence provides:

> "In the determination of his civil rights and obligations or of any criminal charge against him, everyone is entitled to a fair and public hearing within a reasonable time by an independent and impartial tribunal established by law."

In their observations the respondent Government concede that if the decisions in question concerned a determination of the applicants' "civil rights" within the meaning of Article 6 para. 1, (Art. 6-1) the applicants were not able to bring proceedings before an independent and impartial tribunal established by law as required by that provision. The Government submit however that the proceedings did not involve the determination of the applicants' "civil rights", contending that the applicants did not have a right to obtain a reserve licence. The Government further argue that in similar previous cases where a "contestation" pertaining to a "civil right" has been found, the applicant had already been granted or enjoyed the benefit of the licence prior to it being revoked.

The Commission has made a preliminary examination of these issues in light of the submissions of the parties. It considers that these issues raise important and complex questions of fact and law which require an examination on the merits. This complaint must therefore be declared admissible, no other ground for declaring it inadmissible having been established.

3. Article 11 (Art. 11) of the Convention

The applicants complain that they have been refused reserve permits since they are not members of MTEA. They invoke Article 11 (Art. 11) of the Convention, which provides:

> "1. Everyone has the right to freedom of peaceful assembly and to freedom of association with others, including the right to form and join trade unions for the protection of his interests.
>
> 2. No restrictions shall be placed on the exercise of these rights other than such as are prescribed by law and are necessary in a democratic society in the interests of national security or public safety, for the prevention of disorder or crime, for the protection of health or morals or for the protection of the rights and freedoms of others. This Article shall not prevent the imposition of lawful restrictions on the exercise of these rights by members of the armed forces, of the police or of the administration of the State."

The Commission recalls that indeed MTEA hold 90 reserve permits, of which 35 were granted in April 1980. It appears however from the decisions of the County Administrative Board and the Board of Transport that the reason for the refusal of such licences to the applicants was the finding that there was no need for further licences in the area at that time. While members of MTEA therefore have the possibility of using reserve permits, whereas the applicants do not, the Commission does not find that the applicants have thereby been placed under any obligation to join MTEA. The Commission notes that they have been able to continue throughout to carry out their business of providing a taxi service. In these circumstances, the Commission finds no appearance of a violation of the applicants' right to

freedom of association under Article 11 (Art. 11) of the Convention.

It follows that this complaint is manifestly ill-founded within the meaning of Article 27 para. 2 (Art. 27-2) of the Convention.

4. Article 14 (Art. 14) of the Convention

The applicants complain that they have been discriminated against since MTEA and the TS Transportservice have been granted reserve licences whereas they have been refused such licences.

Article 14 (Art. 14) of the Convention provides:

> "The enjoyment of the rights and freedoms set forth in this Convention shall be secured without discrimination on any ground such as sex, race, colour, language, religion, political or other opinion, national or social origin, association with a national minority, property, birth or other status."

The Commission recalls that Article 14 (Art. 14) prohibits discrimination in respect of enjoyment of the rights and freedoms set out in the Convention. There is no right as such to be granted a taxi licence or a reserve licence contained in the Convention. Further, the Commission recalls that it has found no appearance of a violation of the applicants' right to freedom of association as guaranteed by Article 11 (Art. 11) of the Convention. The Commission also finds that there is no indication that the applicants have been discriminated against in the enjoyment of their rights under Article 11 (Art. 11) of the Convention. Consequently, there is no appearance of a violation of Article 14 (Art. 14) of the Convention.

It follows that this complaint is also manifestly ill-founded within the meaning of Article 27 para. 2 (Art. 27-2) of the Convention.

For these reasons, the Commission

DECLARES ADMISSIBLE, without prejudging the merits, the applicants' complaint under Article 6 para. 1 of the Convention;

DECLARES INADMISSIBLE the remainder of the application.

Secretary to the Commission	President of the Commission
(H.C. KRÜGER)	(C.A. NØRGAARD)